

M/S Shamli Steels Pvt. Ltd. v. U.P. Power Corporation Ltd. And Others

Allahabad High Court · Division Bench · 25 April 2014 · Writ - C No. 61601 of 2012 · **Writ petition dismissed for want of prosecution; interim order vacated**

HEADNOTE

An industrial consumer challenged a U.P. Power Corporation Ltd. bill applying the New Tariff for 2012-13 from 1 October 2012, though the tariff was published in the newspaper on 23 October 2012. It did not dispute the U.P. Electricity Regulatory Commission's determination; it said Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004, section 24(7) of the U.P. Electricity Reforms Act, 1999 and Clause 3.8(a) of the U.P. Electricity Supply Code, 2005 allow a tariff to take effect only seven days after publication, so the New Tariff could operate from 31 October 2012 and not from 1 October 2012. On 27 November 2012 the Division Bench held that the matter required consideration, issued notice, and directed that supply would not be disconnected on the impugned bill if, from 1 November 2012, bills were paid at the New Tariff, October 2012 was paid at the prior tariff, pre-October amounts in that bill were paid, and a bank guarantee covered the October difference, all without prejudice. On 25 April 2014 none appeared for the petitioner in the revised call. The writ was dismissed and the interim order vacated. The Court did not decide whether the New Tariff could be given retrospective effect.

FACTUAL SUMMARY

M/S Shamli Steels Pvt. Ltd. challenged a U.P. Power Corporation Ltd. electricity bill applying the New Tariff for 2012-13 from 1 October 2012. Counsel said UPPCL published that tariff in the newspaper on 23 October 2012 (public notice, Annexure-3) yet made it effective from 1 October 2012. The petitioner did not dispute the U.P. Electricity Regulatory Commission's determination; it objected only to retrospective operation. Invoking Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004, section 24(7) of the U.P. Electricity Reforms Act, 1999, Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, and section 62(6) of the Electricity Act, 2003, it argued that a published tariff takes effect only seven days after publication, so the New Tariff could operate from 31 October 2012, not from 1 October 2012.

On 27 November 2012 notice issued (accepted for respondents 1 to 4) and disconnection was stayed on payment and bank-guarantee conditions. Counter-affidavit was directed within three weeks and the writ listed for 8 January 2013. On 25 April 2014 none appeared in the revised call.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.8

Challenge to retrospective New Tariff; writ dismissed for want of prosecution

HOLDING

On 27 November 2012 the Court recorded the petitioner's case that the New Tariff for 2012-13, published on 23 October 2012, could not be given effect from 1 October 2012 because Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, section 24(7) of the U.P. Electricity Reforms Act, 1999 and Regulation 139(2) of the 2004 Conduct of Business Regulations provide that a tariff takes effect only seven days after publication, and because section 62(6) of the Electricity Act, 2003 bars recovery in excess of the determined tariff. It held that the matter required consideration, issued notice, and, pending admission, directed that supply would not be disconnected on the impugned bill if (i) from 1 November 2012 the petitioner paid at the New Tariff, (ii) October 2012 was paid at the prior tariff by 10 December 2012, (iii) any pre-October amount in that bill was paid by that date, and (iv) a bank guarantee for the October difference was furnished by that date, failing which the interim would stand vacated, all without prejudice, with surcharge and interest recoverable if the writ failed. On 25 April 2014 none appeared for the petitioner even in the revised call; the writ was dismissed

and the interim order vacated, without construing Clause 3.8 or deciding retrospective effect.

¶ order of 27.11.2012, order of 25.4.2014

QUALIFIER

Interlocutory 27.11.2012; dismissed for non-appearance on 25.4.2014 without a merits construction.

FLAG Thin procedural record of two unnumbered sittings. 27.11.2012 (Satya Poot Mehrotra and Het Singh Yadav, JJ.) is notice and the conditional stay; 25.4.2014 (Krishna Murari and Vijay Lakshmi, JJ.) is the disposal. Clause 3.8(a), s.24(7) Reforms Act, Regulation 139(2) and s.62(6) are as invoked; they were not construed. Catalog false-positives (EA1999(UP)::24-tariff-fact-forum; s135-1A-24-hour-FIR-is-mandatory; s62-6-interest-generation-tariff; s62-6-interest-only-for-overcharging-not-delayed-rebate) are not used.

PRINCIPLE TAGS

writ-dismissed-for-want-of-prosecution-interim-vacated

After a 27.11.2012 without-prejudice stay of disconnection on a bill applying the New Tariff from 1.10.2012, none appeared for the petitioner in the revised call of 25.4.2014; the writ was dismissed and the interim order vacated, leaving the Clause 3.8 / retrospective-tariff point undecided.

¶ order of 25.4.2014

writ-petition-dismissed-for-want-of-prosecution-on-non-appearance

The case was called in the revised list; no one appeared to press the writ, which was accordingly dismissed. ¶ order of 25.4.2014

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE NEW TARIFF FOR 2012-13, PUBLISHED ON 23.10.2012, COULD LAWFULLY BE GIVEN EFFECT FROM 1.10.2012

The 27.11.2012 order said only that the matter required consideration and granted a conditional stay; dismissal for non-appearance left retrospective effect unadjudicated. ¶ order of 27.11.2012, order of 25.4.2014

NOT DECIDED — CONSTRUCTION OF CLAUSE 3.8(A) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, SECTION 24(7) OF THE U.P. ELECTRICITY REFORMS ACT, 1999, AND REGULATION 139(2) OF THE UPERC (CONDUCT OF BUSINESS) REGULATIONS, 2004

Invoked for the seven-day publication rule; not construed. ¶ order of 27.11.2012

NOT DECIDED — WHETHER SECTION 62(6) OF THE ELECTRICITY ACT, 2003 BARRED RECOVERY OF THE NEW TARIFF FOR OCTOBER 2012

Cited as a bar on recovering tariff in excess of that determined under section 62; not examined. Catalog interest-on-s.62(6) tags do not apply. ¶ order of 27.11.2012